

EQUITY RESEARCH • INITIATION OF COVERAGE

NIKE, Inc.

NKE • Rubber & Plastics Footwear • benchmarked against LULU, DECK, CROX, UAA, VFC, COLM

RATING

HOLD

PRICE TARGET

\$32.81

CURRENT PRICE

\$33.87

IMPLIED RETURN

-3.1%

Abhishek Raut • 2026-10-05

Built from SEC EDGAR filings and public market data with Ticker-to-Thesis. Not investment advice.

HOLD: \$32.81 price target implies 3% downside

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Investment thesis

- The turnaround is already in the price: at ~\$34, the market discounts EBIT margins rebuilding to ~11% by FY31. That is our base case too, so we see fair value, not a bargain.
- FY27 is a reset year: management guides revenue down high-single digits and adj. EPS of \$1.15-1.35. We model -8% revenue and a ~5% EBIT margin.
- Self-help is real but back-end loaded: ~\$2.5bn of Pace savings by FY31, inventory down 3% y/y and gross margin up 60bp in Q1 support the rebuild; China (-22% in Q1) is the swing factor.

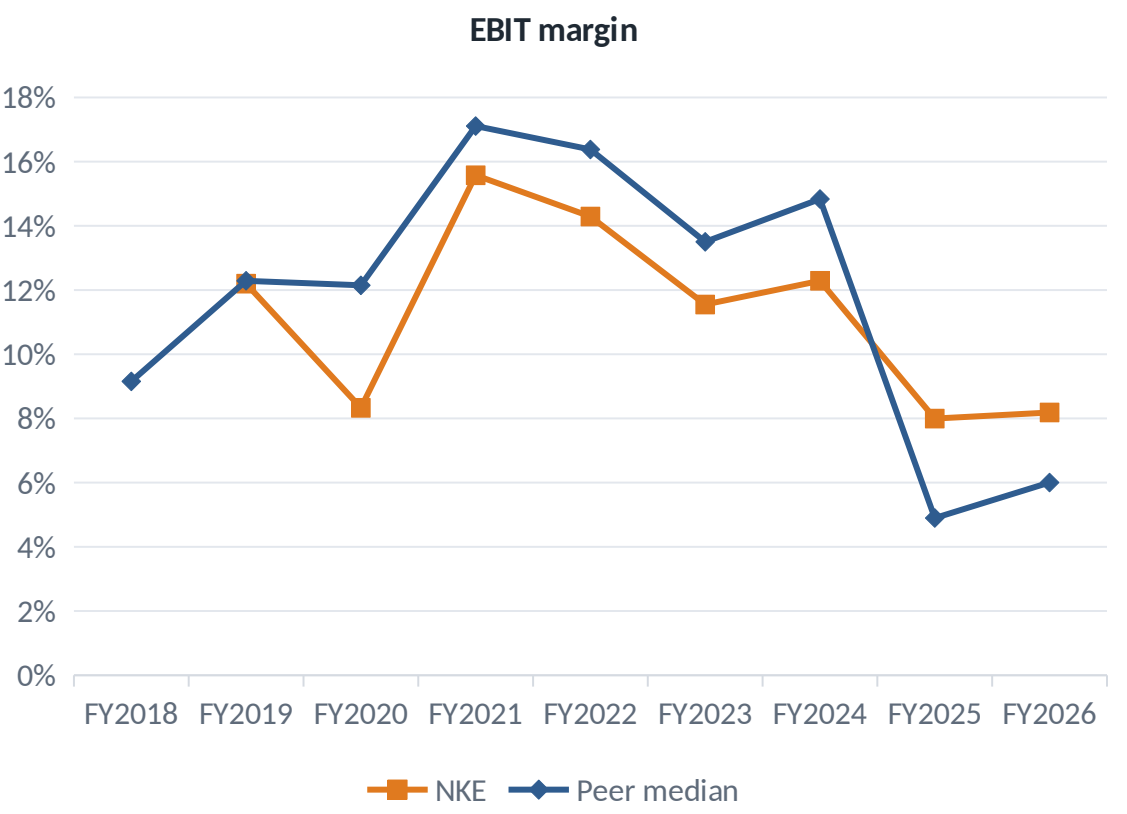
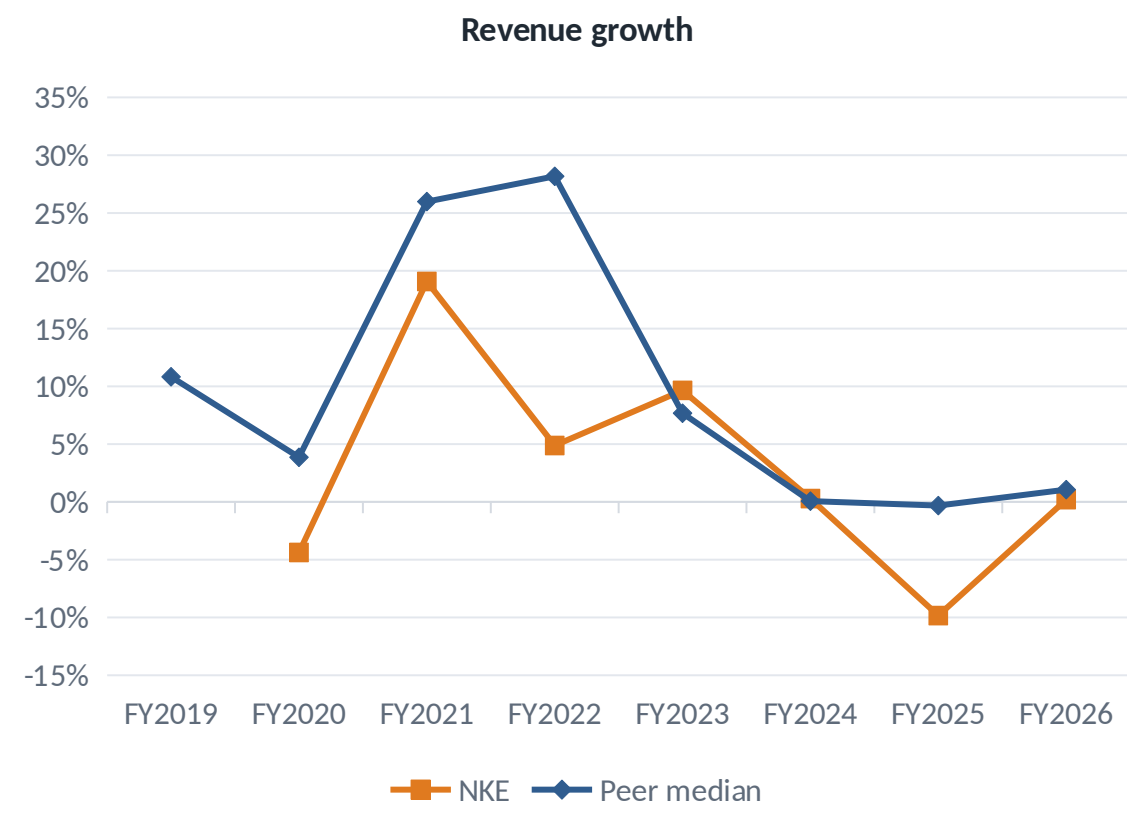
Valuation: Price target \$32.81 vs \$33.87 current: -3.1% implied return → HOLD. DCF (perpetuity growth 2.5%, WACC 9.2%): \$35.57 per share; exit-multiple method (8.7x EBITDA): \$32.99.

NIKE: \$46.4bn revenue, +0.2% growth and a 8.2% EBIT margin in FY2026

\$m	FY2022	FY2023	FY2024	FY2025	FY2026
Revenue	46,710	51,217	51,362	46,309	46,398
Growth	4.9%	9.6%	0.3%	-9.8%	0.2%
Gross margin	46.0%	43.5%	44.6%	42.7%	42.9%
EBIT	6,675	5,915	6,311	3,702	3,797
EBIT margin	14.3%	11.5%	12.3%	8.0%	8.2%
Net income	6,046	5,070	5,700	3,219	3,108
Free cash flow	4,430	4,872	6,617	3,268	2,184
ROIC	59.4%	40.3%	44.7%	25.8%	23.4%
Net debt / EBITDA	-0.5x	-0.3x	-0.4x	-0.3x	-0.2x

Market cap	\$50.3bn
Enterprise value	\$49.8bn
Net debt / (cash)	(\$475m)
EV / EBITDA	11.0x
P / E	16.2x
52-week range	\$33.87 – \$71.93
Fiscal year end	05/31
Industry (SIC)	3021 Rubber & Plastics Footwear

EBIT margin is 2.1pp above the peer median; 3-year revenue CAGR -3.2% vs +1.9% for peers

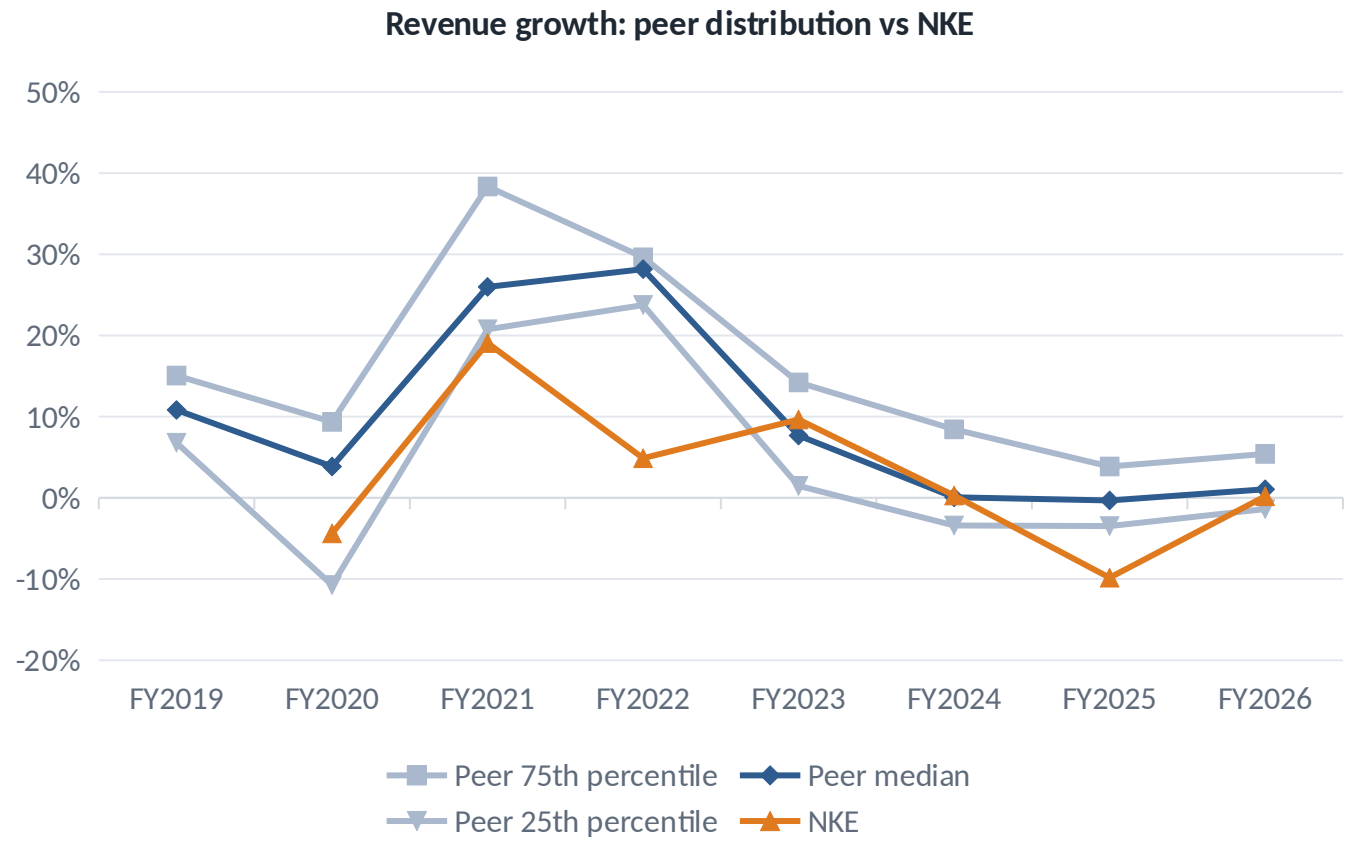


Profitability: EBIT margin of 8.2% ranks at the 64th percentile of the group (peer median 6.0%). Over three years it moved -3.4pp while the peer median moved -7.5pp.

Benchmark scorecard: NKE trails the peer median on 6 of 11 metrics and leads on 5

Metric	NKE	Peer median	Peer range (Q1–Q3)	Percentile	Verdict
Revenue growth	0.2%	1.0%	-0.9% – 3.9%	36	Worse
Revenue CAGR (3y)	-3.2%	1.9%	-3.7% – 9.4%	36	Worse
Gross margin	42.9%	55.7%	51.6% – 57.4%	7	Worse
EBIT margin	8.2%	6.0%	4.3% – 16.5%	64	Better
ROIC	23.4%	13.0%	4.3% – 46.8%	64	Better
FCF margin	4.7%	7.3%	5.9% – 14.3%	21	Worse
FCF conversion (FCF / net income)	70.3%	114.7%	95.0% – 146.3%	30	Worse
Net debt / EBITDA	-0.2x	-0.7x	-1.4x – 3.2x	42	Worse
Interest coverage (EBIT / interest)	11.8x	3.5x	1.7x – 499.2x	58	Better
Inventory days	103 days	119 days	89 days – 127 days	64	Better
Cash conversion cycle	100 days	109 days	100 days – 110 days	58	Better

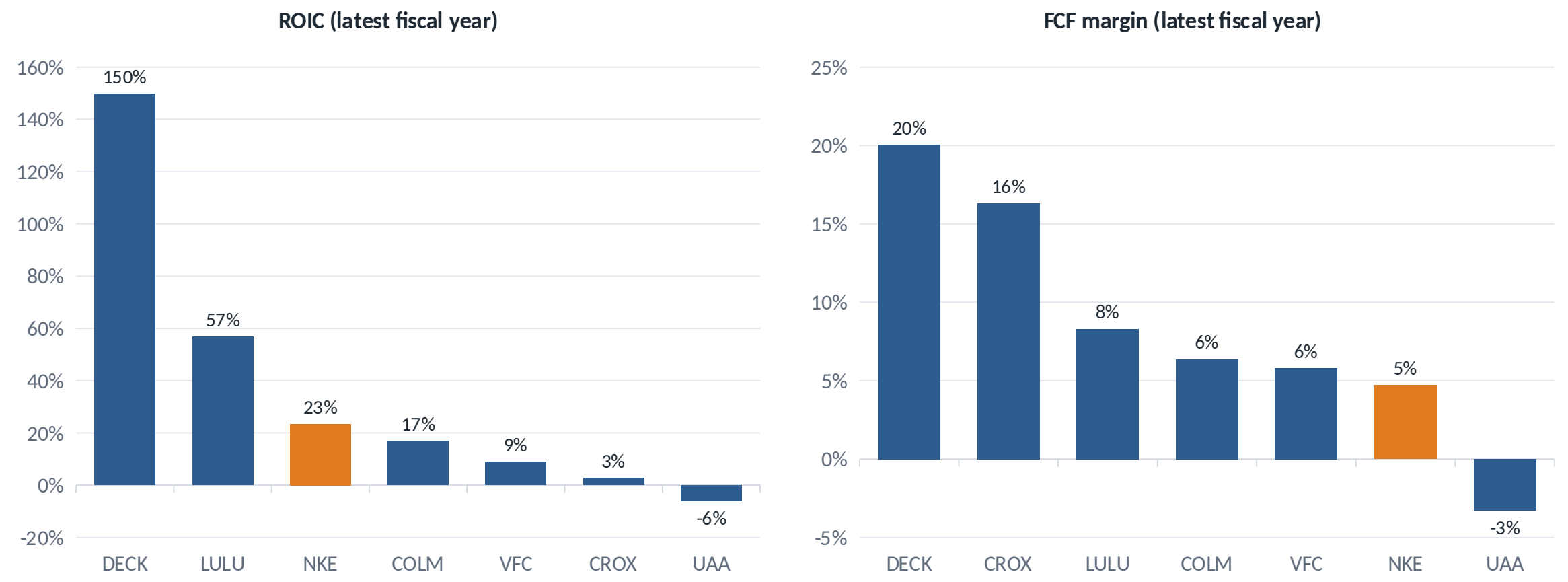
Industry backdrop: peer revenue growth averaged +0.3% a year and margins are contracting



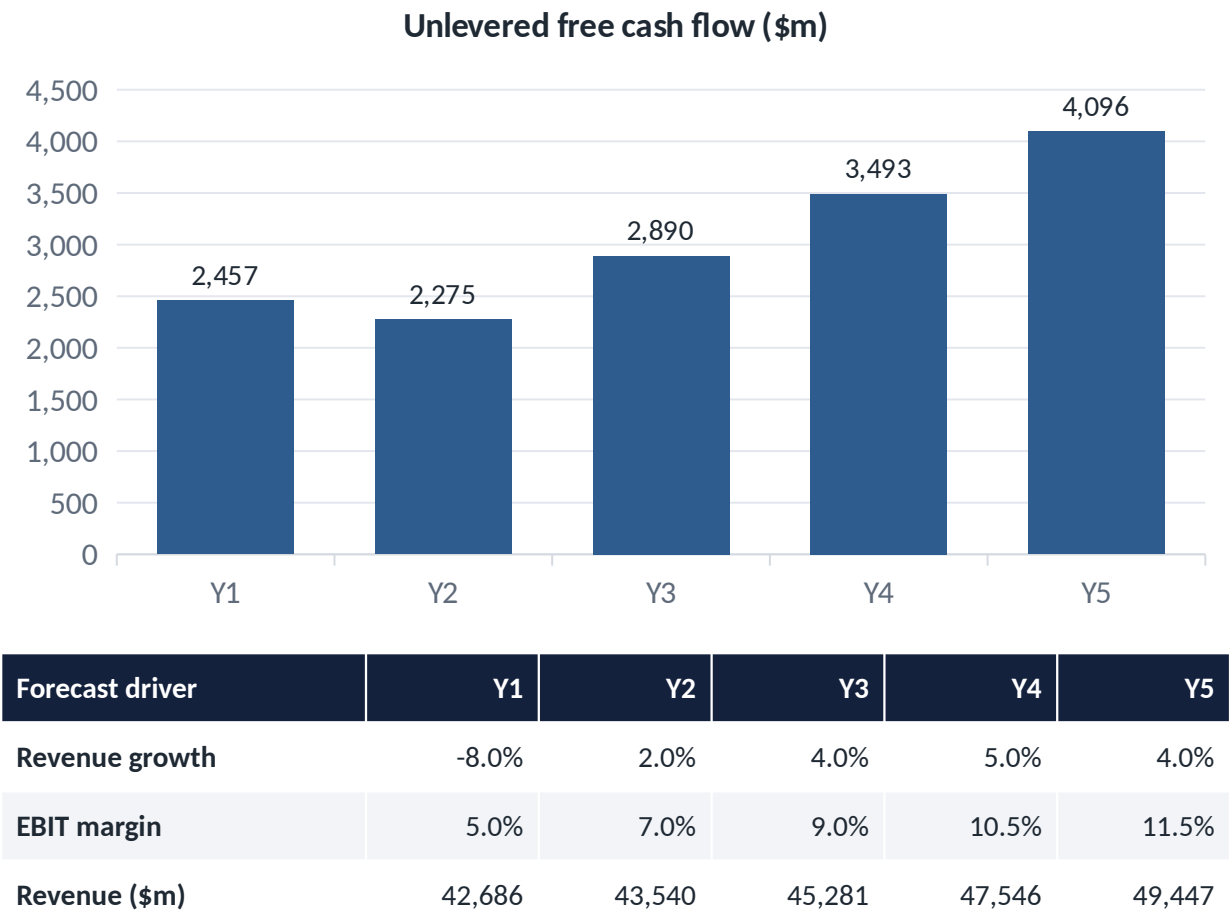
What the peer group tells us

- Peer-group revenue growth has averaged +0.3% a year over the last three years (latest +1.1%); NKE averaged -3.1%.
- Industry EBIT margins are contracting (-7.5pp over three years, now 6.0% at the median).
- Gross margin trend: peers +3.5pp, NKE -0.6pp over three years.

Returns and cash: NKE ranks #3 of 7 on ROIC and converts 70% of earnings into free cash flow



DCF: \$35.57 per share at a 9.2% WACC and 2.5% terminal growth

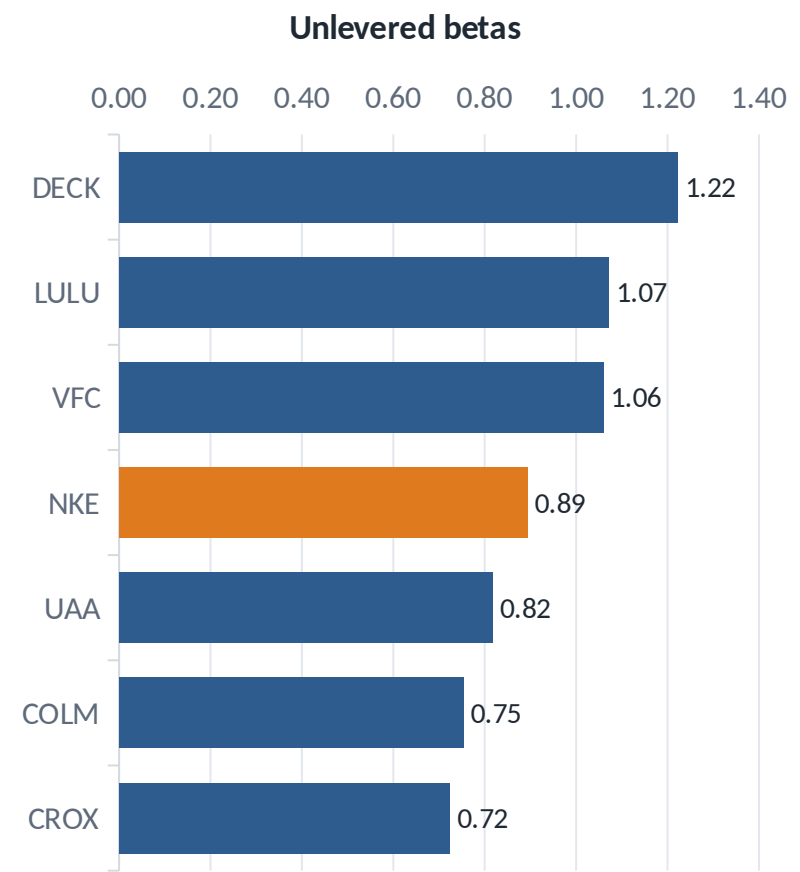


EV bridge (\$m)	Value
PV of forecast UFCF	11,987
PV of terminal value	40,332
Enterprise value	52,319
Less: net debt	-475
Equity value	52,794
Diluted shares (m)	1,484.2
Value per share	\$35.57
Terminal value % of EV	77.1%
Implied exit EV/EBITDA	9.7x
Exit-multiple method	\$32.99 at 8.7x

UFCF = EBIT × (1 – tax) + D&A – capex – Δ working capital; mid-year discounting. Full model in the Excel workbook.

Cost of capital: 9.2% WACC from a bottom-up beta of 1.05 and an implied AAA credit rating

Component	Value	Basis
Risk-free rate	5.2%	FRED DGS10 (10-year Treasury), 2026-10-01
Equity risk premium	4.5%	Assumption (config)
Unlevered beta (peer median)	0.94	6 peers, 2y weekly vs S&P 500, Blume-adjusted
Relevered beta	1.05	At NKE's market D/E; own beta 1.00
Cost of equity	10.0%	CAPM: $rf + \beta \times ERP$
Cost of debt (pre-tax)	5.8%	$rf + 0.60\%$ spread (AAA; coverage 11.8x)
Weights (equity / debt)	86% / 14%	Market cap and book debt
WACC	9.2%	



Sensitivity: every ±0.5pp on WACC moves the DCF value by about \$3 per share

WACC \ terminal growth	2.00%	2.25%	2.50%	2.75%	3.00%
8.20%	\$39.19	\$40.55	\$42.04	\$43.66	\$45.43
8.70%	\$36.16	\$37.31	\$38.54	\$39.88	\$41.33
9.20%	\$33.56	\$34.53	\$35.57	\$36.69	\$37.90
9.70%	\$31.30	\$32.13	\$33.02	\$33.97	\$34.99
10.20%	\$29.32	\$30.04	\$30.80	\$31.61	\$32.49

Exit-multiple method

WACC \ exit multiple	6.7x	7.7x	8.7x	9.7x	10.7x
8.20%	\$28.46	\$31.40	\$34.35	\$37.29	\$40.24
8.70%	\$27.90	\$30.78	\$33.66	\$36.54	\$39.41
9.20%	\$27.36	\$30.18	\$32.99	\$35.80	\$38.62
9.70%	\$26.84	\$29.59	\$32.34	\$35.09	\$37.84
10.20%	\$26.33	\$29.02	\$31.70	\$34.39	\$37.08

Green: ≥15% above the current price (\$33.87). Red: ≥10% below. Orange: base case.

Trading comps: NKE trades at 11.0x EV/EBITDA, a 25% premium to the peer median of 8.7x

Company	Mkt cap	EV	EV / Sales	EV / EBITDA	P / E	EBIT margin	FCF yield
DECK • Deckers Outdoor	\$10.8bn	\$9.2bn	1.7x	6.9x	10.5x	23.1%	10.2%
LULU • Lululemon athletica	\$10.0bn	\$8.6bn	0.8x	3.2x	6.3x	19.9%	9.2%
CROX • Crocs	\$5.7bn	\$6.8bn	1.7x	29.8x	n/a	3.7%	11.6%
VFC • VF	\$5.6bn	\$8.3bn	0.9x	9.7x	22.0x	6.0%	9.9%
COLM • Columbia Sportswear	\$2.9bn	\$2.3bn	0.7x	8.7x	16.5x	6.1%	7.4%
UAA • Under Armour	\$2.0bn	\$2.2bn	0.4x	n/a	n/a	-3.3%	-8.0%
NKE • Nike	\$50.3bn	\$49.8bn	1.1x	11.0x	16.2x	8.2%	4.3%
Peer median			0.8x	8.7x	13.5x	6.0%	9.6%

Implied value per share for NKE: EV/EBITDA: \$27.09 (range \$21.34–\$30.04) • P/E: \$28.36 (range \$19.86–\$37.51)

Valuation range: methods point to \$20–\$72; price target \$32.81



Price target = 50% × DCF perpetuity (\$35.57) + 25% × DCF exit multiple (\$32.99) + 25% × comps EV/EBITDA (\$27.09)

Scenarios: \$23 bear, \$36 base, \$59 bull (DCF value per share)

BEAR CASE		BASE CASE		BULL CASE	
\$22.50		\$35.57		\$58.53	
-34% vs current price		+5% vs current price		+73% vs current price	
Revenue growth	-11.0% → +1.0%	Revenue growth	-8.0% → +4.0%	Revenue growth	-5.0% → +7.0%
EBIT margin (Y5)	9.5%	EBIT margin (Y5)	11.5%	EBIT margin (Y5)	13.5%
WACC	10.2%	WACC	9.2%	WACC	8.2%
Terminal growth	2.0%	Terminal growth	2.5%	Terminal growth	3.0%

Key risks and what would change our view

Flagged by the data

- Margin compression: EBIT margin down 3.4pp over three years; the forecast assumes a recovery, which is the key swing factor.
- Valuation leans on the terminal value (77% of DCF enterprise value), so it is sensitive to WACC and long-run growth (see sensitivity tables).
- Premium multiple (11.0x EV/EBITDA vs peers 8.7x) despite below-median growth.

Analyst view

- China keeps falling: margins stall near 7% and value drops to ~\$22 (our 'stuck' case).
- Share loss to challenger running brands (On, Hoka) limits pricing power.
- Execution slips: with recovery already priced in, there is little cushion for delays.

Catalysts

- Q2 FY27 results (expected late December): first read on China and holiday sell-through.
- Signs that Greater China declines are bottoming.
- Delivery of Pace savings as restructuring charges roll off.

Methodology, data and limitations

- **Data.** 10-K/10-Q XBRL facts from SEC EDGAR for NKE and 6 peers, standardised across tag changes and restatements; every value traceable to its filing (Excel: Sources sheet). Prices: Yahoo Finance / Stooq; risk-free: FRED DGS10.
- **Benchmarking.** Latest fiscal year for each company; percentile ranks oriented so 100 = best; trends use the peer median and quartiles.
- **DCF.** 5-year forecast, unlevered FCF, mid-year discounting, Gordon growth and exit-multiple terminal values.
- **WACC.** CAPM with a bottom-up beta (peer regression betas, Blume-adjusted, unlevered and relevered); cost of debt from a synthetic rating.
- **Price target.** Weighted blend of DCF (perpetuity and exit multiple) and trading comps; rating thresholds +15% / –10%.
- **Limitations.** No consensus estimates or stub-period adjustment; multiples on the latest fiscal year, not LTM; operating leases excluded from debt; peer set chosen by the analyst.

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